SMALL PARCELS, FULL CHECKS

A reform strategy for DPIIT and the 2026 Inter-Ministerial Committee on E-Commerce Exports: simple, affordable online exporting for MSMEs and artisans without weakening customs checks or tax collection

OUR ANSWER: KEEP EVERY PARCEL DECLARED, GRADE THE SELLER INSTEAD OF INSPECTING THE PARCEL, AND MOVE THE PAPERWORK FROM THE SELLER TO A CLUSTER EXPORT DESK.

In our model: a ₹3,960 order earns the seller ₹1,038 instead of ₹640 (62% more) with no freight subsidy. Pilot: 6 clusters, 2,400 sellers, ₹3.58 crore.

TEAM IDEAFORGE

Team Members	Institution	Role
Harsh Kawatra	Delhi Technological University	Team Leader
Dayita Arora	Delhi Technological University	Member

Read the full research document →

WHO DECIDES WHETHER A SMALL PARCEL LEAVES INDIA

MSMEs make about 46% of India's exports; e-commerce carries a small slice. Eight actors shape every parcel.



Logos and images identify organisations and places in the analysis; no partnership or endorsement is implied.

MARKET AND ACCESS

Paperwork and returns, not freight, decide whether a small parcel pays: a cluster desk, one rate card and a pooled return point lift a seller's margin from ₹640 to ₹1,038 an order with no freight subsidy

TODAY

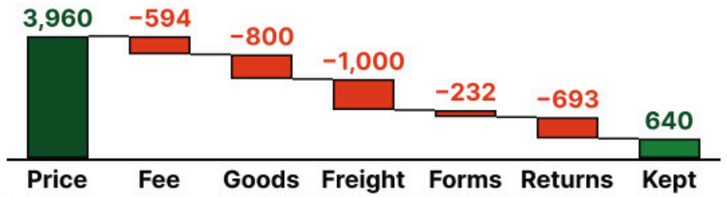
₹3,960 price of one order

₹640 kept by the seller

₹1,531 cost to serve a parcel

16.2% of the price kept

ONE ORDER TODAY, ₹



Hidden: forms and returns ₹925; freight ₹1,000

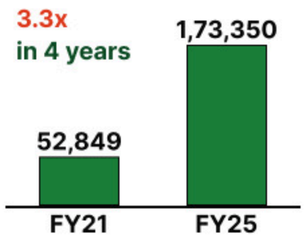
FIVE WAYS TO SHIP ONE ORDER, ₹

Lane	Freight	Forms	Kept	Margin
Parcel today	₹1,000	₹232	₹640	16.2%
+ cluster desk	₹1,000	₹38	₹835	21.1%
+ one rate card	₹880	₹38	₹955	24.1%
+ pooled returns	₹880	₹38	₹1,038	26.2%
Warehouse lane	₹1,118	₹15	₹892	22.5%

SO WHAT: the reformed parcel keeps 1.6x today

THE MARKET

MSME EXPORTS, AND THE ONLINE SLICE



46% MSME share of exports, FY25

$4 to 5 bn e-commerce exports, FY23

7.3 crore Udyam units; 1 in 420 export

FIVE FORCES ON ONE CLUSTER SELLER

One seller, few parcels	New entrants HIGH	Platforms: 15% fee, own data
Carriers HIGH	Rivalry HIGH	Buyers abroad HIGH
Destinations tighten rules	Substitutes: EOR MEDIUM	Win on cost a parcel

DESTINATIONS CLOSE THE LOW-VALUE DOOR

Market	Rule for low-value parcels	Who pays
US	de minimis gone, Aug 2025	duty, ad valorem
EU	€3 an item from 1 Jul 2026	€3 per item line
UK	£135: marketplace VAT	the marketplace
UAE	duty-free to AED 1,000	the importer
Australia	GST on A$1,000 or less	seller registers

SO WHAT: every parcel must be declared well

THE CHALLENGE

THE 2026 CLOCK: EVERY ROUTE IS NOW OPEN



SO WHAT: the routes are open; per-parcel cost is left

THE KEY QUESTION, BROKEN DOWN: A MECE ISSUE TREE

How can a ₹3,960 parcel pay without a lighter check?

- **CUT THE FORMS**
  - 45 minutes and a ₹120 agent fee a parcel (A07, A09)
  - CSB-V keyed by hand; three routes, three rule books
- **CUT FREIGHT**
  - ₹1,000 for a 0.5 kg parcel; no bulk rate for a few parcels
  - A 12% rate-card saving is the least certain lever (A28)
- **FIX RETURNS**
  - 20% to 25% of e-commerce exports come back (CBIC)
  - One return costs ₹2,132; most are abandoned abroad (T2)

Source: team model 8fe043dc97 (T2 to T6), representative ₹3,960 item, 0.5 kg | Lok Sabha USQ 2786 | SBI | EY-ASSOCHAM | MSME Ministry | CBIC Circular 17/2026 | DGFT 27/2026-27 | CBP, EU Council, HMRC, ATO | forces are team judgement

Grade the seller, not the parcel: one pre-filled declaration and three seller tiers keep every parcel declared, cut forms from 45 to 15 minutes and release incentives only against matched payment

SIX OPTIONS

SIX OPTIONS, OUR SCORES (1 TO 5)

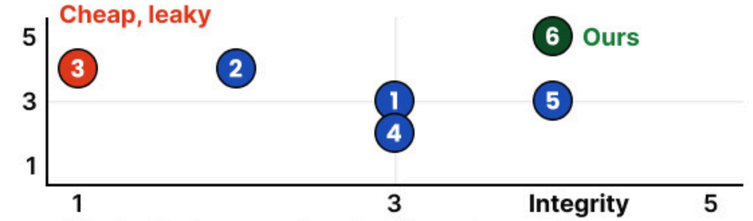
Option	Cost 30%	Integ. 25%	Fiscal 15%	Time 15%	2026 15%	Score
New portal	◑	◑	◔	○	◔	2.40
Subsidy	◕	◔	○	◕	○	2.60
Exemption	◕	○	◕	◕	○	2.80
Marketplace	◔	◑	◔	○	◔	2.10
Warehouses	◑	◕	◔	◔	◑	2.95
Our package	●	◕	◕	◕	●	4.45

~~OBVIOUS: PORTAL, SUBSIDY, EXEMPTION~~

1. Portal: rebuilds ICEGATE, ECCS and DNK; slowest to deliver
2. Subsidy: ₹1,000 a parcel from the exchequer, every year
3. Exemption: splitting and under-invoicing; 1 of 5 on integrity

CONCLUSIVELY: grade the seller, keep every parcel declared: 4.45 of 5

SELLER COST AGAINST INTEGRITY



1 portal, 2 subsidy, 3 exempt, 4 market, 5 warehouses, 6 ours

THE RULES

ONE ORDER: FIVE HAND-OFFS TODAY, FOUR AFTER

TODAY 45 min	IEC, GST, Udyam	→ Invoice by hand	→ PBE-III or CSB-V	→ Agent or CHA	→ Return = import	
AFTER 15 min	One seller ID at the desk	→ Declaration pre-filled	→ Risk engine scores it	→ Return to a pooled point		

Basis: CSB-V keyed by hand; ECCS, ICEGATE, DNK portals exist

THREE TIERS: CHECKS FOLLOW THE RECORD

Tier	Entry	Checks	Demoted
Tier 1	KYC at the desk	all scored	any error
Tier 2	25 clean parcels	less sampling	unpaid bill
Tier 3	12 months clean	audit after	audit flag

Every tier: all parcels declared; thresholds proposed

EACH MISUSE MEETS TWO CONTROLS

	Data	Pay	Test	Audit	Drop
Under-invoicing	Yes	Yes	Yes	Yes	Yes
Incentive misuse	Yes	Yes	Part	Yes	Yes
GST refund leak	Yes	Yes	Part	Yes	Yes
Banned goods	Part	No	Yes	Part	Yes
Split parcels	Yes	Part	Yes	Yes	Yes
Fake returns	Yes	Part	Yes	Yes	Yes

Pay: payment match. Test: sample. Drop: demote

THE MONEY

SELLER KEEPS AN ORDER, SAME CHECKS

₹640 → ₹1,038

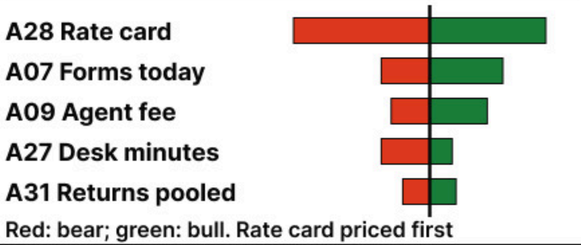
+62% in our model, with no freight subsidy

-84%	₹959	₹14 to ₹385
paperwork	cost to serve	bear case

HOW ₹640 BECOMES ₹1,038, ₹ AN ORDER



WHAT MOVES THE ₹398, ₹



Red: bear; green: bull. Rate card priced first

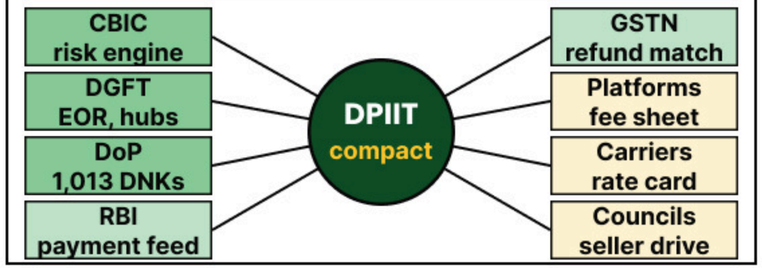
Source: team model 8fe043dc97 (T3, T6, T8, T13); option scores are team judgement, weights 30/25/15/15/15 | CBIC Circulars 17/2026, 54/2020; Notification 45/2017 | WCO E-Commerce FoS 2018 | WTO TFA Art. 7.4 | tiers are pilot proposals

COORDINATION AND PILOT

One compact gives every agency a duty and a gain; a 2,400-seller pilot in 6 clusters tests the reform for ₹3.58 crore and scales only if seller margin rises and integrity holds

THE COMPACT

MIND MAP: WHO HOLDS WHAT SELLERS NEED



GIVE AND GET: ONE DUTY, ONE GAIN, ONE SCORECARD LINE

Actor	Gives	Gets	KPI
DPIIT	Convenes, funds	Export growth	Exporters
DGFT	EOR rules, hubs	District data	New firms
CBIC	Risk engine, tiers	Item-level data	Error rate
DoP	Desks at DNKs	Parcel volume	Ship days

Actor	Gives	Gets	KPI
RBI, banks	Payment feed	Fewer open bills	Realised
GSTN	Refund match	Lower refund risk	Refunds
Platforms	Fee sheet, data	New supply	Fees
Carriers	Cluster rate card	Pooled volume	₹ a parcel

Rule: the scorecard is published monthly; any blocker goes to the committee within two weeks

THE PILOT

SIX CLUSTERS, SIX PRODUCTS, SIX REGIONS

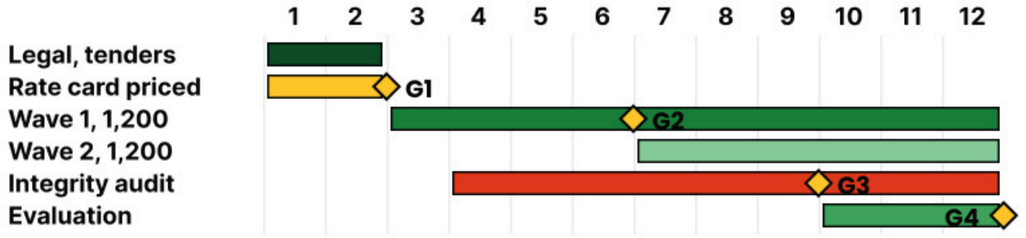


1 Jaipur
block print, North
2 Moradabad
brassware, North
3 Varanasi
silk stoles, East
4 Kutch
embroidery, West
5 Channapatna
wooden toys, South
6 Agartala
cane, bamboo, NE

Why: three are named in the brief, two are GI crafts, one is a remote north-east site

Waves: 1,200 sellers from M3, 1,200 from M7

12 MONTHS, TWO WAVES, FOUR GATES



GO ONLY IF

Gate	When	Test
G1	M2	rate card saves 5% or more
G2	M6	wave 1 margin up ₹200+
G3	M9	discrepancy no worse
G4	M12	3 of 4 KPI targets met

Else: revise or stop at that gate

THE PILOT IN OUR MODEL, BASE

₹3.58 crore → 960

active of 2,400 by month 12

₹37,262	₹2.29 cr	6
per seller	seller gain	clusters

THREE SCENARIOS IN OUR MODEL

Measure	Bear	Base	Bull
Active	600	960	1,320
Seller gain	₹0.80 cr	₹2.29 cr	₹4.92 cr
₹ per active	₹59,620	₹37,262	₹27,100
Kept/order	₹385	₹1,038	₹1,623

Bear: an order still goes from ₹14 to ₹385

TOP RISKS, ONE FIX EACH

Risk	What we do
Rate card	desk-only package
Misuse rises	tighten tiers at G3
Delays	2-week escalation
Low uptake	local desks

Source: team model 8fe043dc97 (T10, T11) | DGFT Towns of Export Excellence list | GI registry | ODOP | India Post 2025 (1,013 DNKs) | compact, pilot design, gates and targets are proposals

Every number on slides 2 to 4 traces to the case brief, a named source or one model with 31 stated assumptions

A1 MODEL: ONE ORDER, THREE LANES, BASE, ₹

Contribution = (1 − return rate) × (price − fee − product − freight − paperwork) − return rate × loss on a return

Line	Today	Reformed parcel	Warehouse
Price abroad	₹3,960	₹3,960	₹3,960
Platform fee	₹594	₹594	₹594
Product cost	₹800	₹800	₹800
Freight and delivery	₹1,000	₹880	₹1,118
Paperwork and agent	₹232	₹38	₹15
Consolidator, stock, write-off	₹0	₹0	₹171
Expected return effect	₹693	₹610	₹370
Contribution per order	₹640	₹1,038	₹892

A2 ASSUMPTIONS THAT MOVE THE ANSWER

ID	Input	Bear	Base	Bull	Checked in
A05	Parcel freight, 0.5 kg	₹1,100	₹1,000	₹900	Lane D
A07	Paperwork today, minutes	60	45	35	time study
A09	Agent fee	₹150	₹120	₹100	to measure
A10	Return rate today	22%	20%	18%	Lane C, CBIC
A11	Returns abandoned abroad	85%	80%	75%	team
A27	Paperwork at the desk, minutes	25	15	10	time study
A28	Rate-card saving	5%	12%	18%	Lane D
A31	Returns sent to pooled point	50%	65%	80%	Lane C, D

Bear is the value least favourable to the recommendation. Case facts are never varied.

A3 SENSITIVITY AND SCENARIOS



₹ an order	Bear	Base	Bull
Today	₹14	₹640	₹1,209
Reformed	₹385	₹1,038	₹1,623
Warehouse	₹176	₹892	₹1,532
Uplift	₹371	₹398	₹414

Switch point: the warehouse never beats the reformed parcel per order (T12)

Uplift ₹398 in the base case; bars show each input at its bear (red) and bull (green) value

A4 SHORT FORMS AND SOURCES

Short	Meaning
AEO	Authorised Economic Operator
CBIC	indirect taxes and customs board
CSB-V	courier shipping bill, form V
DGFT	foreign trade directorate
DNK	Dak Ghar Niryat Kendra
DoP	Department of Posts
ECCS	express cargo clearance system
EOR	Exporter on Record
PBE-III	postal bill of export, form III
RoDTEP	export duty and tax remission

Not yet run: interviews, time study (§29)

Sources

1. CaseQuest 2026 case brief, USME DTU
2. CBIC Circular 17/2026; Notification 45/2017
3. CBIC Circular 54/2020, MSME AEO package
4. DGFT Notification 27/2026-27, PN 25/2026-27
5. India Post year-end review, Dec 2025
6. Lok Sabha USQ 2786, 12 Dec 2024
7. EY-ASSOCHAM on e-commerce exports, FY23
8. GTRI e-commerce export reports, 2023, 2024
9. UPU, PromPerú, SENAE on Exporta Fácil
10. GACC on China cross-border e-commerce, 2024
11. CBP, EU Council, HMRC, ATO, 2025 to 2026
12. CAG Report 33 of 2025; WTO TFA Art. 7.4
13. Team model 8fe043dc97; research Appendix A

THANK YOU

THEREFORE: KEEP EVERY PARCEL DECLARED, GRADE THE SELLER INSTEAD OF THE PARCEL, MOVE THE PAPERWORK TO A CLUSTER DESK, AND TEST IT IN SIX CLUSTERS BEFORE IT SCALES.

TEAM IDEAFORGE

Team Members	Institution	Role
Harsh Kawatra	Delhi Technological University	Team Leader
Dayita Arora	Delhi Technological University	Member

Read the full research document →